

MEMORANDUM

To: AMG Executive Team

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Date: 23rd May 2026

Subject: AMG Transformation Program

Purpose of this Memo

This memo documents the recommended approach for replacing AMG's legacy ERP with a modern cloud-based ERP, which will ensure uninterrupted operations, improve margin transparency, data governance and rationalize the application landscape within the twelve-month target. This recommendation covers the programme structure, what should be included in the initial go-live, how historical data and reporting will be handled and the key risks that require attention. This is to give a clear plan that does not disrupt ongoing operations while meeting the transparency needs of the business.

Project Background and why this matters

AMG runs a system where almost every order is customized. This means that the Bill of Materials and engineering data must be accurate. Approximately eighty percent of custom order saw margin erosion last year. Also, the team has no reliable view of contribution margin, there is unreliable labour tracking and there is manufacturing delays due to BoM sync failures. There are various inconveniences in the system, such as the engineering data sitting in a separate database, the CRM not being connected to anything, and a large amount of work is done in Excel. These are the causes of the margin problem that we are seeking to solve.

Overall Approach

My recommendation is to structure this project in various phases. This method allows us to hit the objectives which have been set, which are keeping operations running without interruption, so customers are still quoted, shipped and invoiced. Another objective is to deliver margin visibility on custom orders, which is a very essential business case for the project. The next is to fix the engineering-to-ERP data flow so the BOM sync failures stop causing manufacturing delays. The last objective is to simplify the application landscape to reduce heavy reliance on fragile interfaces and Excel work,

and to build a foundation for future improvements such as proper CRM integration. The twelve-month target window is split into four phases. In the first phase(months one to three), the team selects the cloud ERP, documents how AMG currently works, agrees on what is accepted, and confirms the scope of the initial go-live. The next phase(months three to seven) focuses on setting up the ERP, data cleanup and the design of the integration with the engineering system. Phase three(months seven to ten) deals with training and testing where real system users test the system with real scenarios so that any identified issues can be addressed. The final phase is the cutover stage where the new system is launched in waves so that the lessons learnt throughout the life cycle can be applied to the next. A care period is applied in the following weeks to fix problems after each go-live.

The top risks to be aware of are as follows. Scope creep, where if ideas outside the original objectives proposed by stakeholders are accepted, it could greatly extend the timeline of a project. Poor data quality where the engineering data and BOM records carry inconsistencies that require cleaning before migration. Another risk is customization indiscipline where every customization of the new ERP makes future upgrades harder.

To control scope, I recommend a rule that any request that is not required for the first go-live to a phase two backlog automatically. There should be a formal change control board, biweekly meetings and reviews to protect the timeline and keep good ideas.

Scope and Sequencing

I have determined that the initial go-live must include the core financial functions, namely the general ledger, accounts and the ability to close the month. It must also include the full order-to-cash flow so that customer orders can be entered, manufactured, shipped and invoiced. It must include manufacturing and MRP functions needed to plan engineer-to-order work and procurement for raw materials and parts. It must include a working integration between the cloud ERP and the engineering system so that BOMs flow reliably without the nightly failures being faced in the current system, and basic margin reporting at the order level.

The following will be deliberately deferred to Phase Two. The CRM integration should not be included in the first go-live since it is already in the cloud and works on its own so connecting it to the new ERP is not urgent. The HRIS and payroll integration also because it does not affect manufacturing or invoicing. Advanced analytics, supplier portals and customer self-service portals should also be deferred to the next phase.

My recommendation is to migrate data that is required in the new system. Historical transactions, typically older than eight years should not be migrated but instead

archived in a read-only system that can be accessed by finance and audit when needed. Closed orders from past years can be brought in summary form, but not in full detail. Data like customers, vendors, items and active BOM's must be migrated cleanly.

For customization discipline, I recommend a rule that the development team adopts the ERP's defined process unless it goes against a documented business reason. Customizations should only be approved by the steering committee of the project, not just by stakeholders.

Data and Reporting

For historical migration, only the most recent two years of detailed transactions will be migrated into the new ERP. Older data will be moved into a read-only archive that can be accessed by leadership, finance and audit teams at any time. This will be built before the cutover to ensure that no data is lost. Data cleanup starts before data migration, in order not to be in a rush to clean records.

For the period between the start of the project and the full go-live, I recommend building a set of reports that pull data from both the old and new ERPs as it becomes active, so that a consistent set of data is seen. The executive KPIs seen by the board today (revenue, gross margin, product backlog etc.) will be produced from the reports throughout the project. After go-live, the reports are switched off, and the new ERP is the single source of truth.

The recommendation for the month-end close continuity is to schedule a final cutover in the financial calendar that gives finance the most "breathing room". A parallel is run closely in the first month after the go-live. This means finance produces the close in both systems, compares results and only declares the new system the official source once the numbers reconcile. This eliminates the risk of a missed or incorrect close.

Summary

This is a recommendation plan that approaches this project as a twelve-month phase programme with a go-live focused on core finance, manufacturing, procurement and engineering integration capabilities. Anything that does not directly supports core objectives should be moved to the next phase. Historical data should be preserved, and reports should bridge the old and new systems during the transition. Scope creep, customization indiscipline and poor data quality are some risks that should be carefully looked at. If this approach is approved, the next steps to take are to mobilize a team within a few weeks, select the ERP vendor in a month, and complete the detailed scope documentation and project charter after. This approach will give AMG a very good chance of hitting the target time without stopping operations.